

MCS-225 – IMPORTANT FAQs (Exam Focused)

♦ Accounting Basics

1. What is Accounting?

Accounting is the systematic process of recording, classifying, summarizing, and interpreting financial transactions of a business.

2. What is the scope of accounting?

The scope includes financial accounting, cost accounting, management accounting, reporting, and analysis of financial information for decision-making.

3. What are accounting concepts?

Accounting concepts are basic assumptions and rules that ensure uniformity and reliability in accounting records.

4. Why are accounting concepts important?

They provide consistency, comparability, and accuracy in financial statements.

♦ Accounting Concepts (Very Important)

5. What is Business Entity Concept?

It states that business and owner are treated as separate entities for accounting purposes.

6. What is Dual Aspect Concept?

Every transaction has two aspects—debit and credit—and both must be recorded.

7. What is Going Concern Concept?

It assumes that the business will continue operating for the foreseeable future.

8. What is Matching Concept?

Expenses should be matched with related revenues of the same accounting period.

9. What is Accrual Concept?

Income and expenses are recorded when they occur, not when cash is received or paid.

10. What is Conservatism Concept?

Anticipate losses but not profits while preparing accounts.

11. What is Consistency Concept?

Accounting methods should be followed consistently from one period to another.

12. What is Money Measurement Concept?

Only transactions that can be measured in monetary terms are recorded.

- ◆ Final Accounts & Balance Sheet

13. What are Final Accounts?

Final accounts include Trading Account, Profit & Loss Account, and Balance Sheet.

14. Why are adjustment entries required?

To ensure correct income measurement and true financial position.

15. What is a Balance Sheet?

It is a statement showing assets, liabilities, and capital of a business on a specific date.

16. What are main components of a Balance Sheet?

Assets, Liabilities, and Owner's Equity.

- ◆ Ratio Analysis

17. What is Ratio Analysis?

It is a technique to analyze financial statements using ratios.

18. What are solvency ratios?

Ratios that measure long-term financial stability of a firm.

19. Name important solvency ratios.

Debt-Equity Ratio, Proprietary Ratio, Fixed Assets Ratio.

20. Why is ratio analysis important?

It helps in performance evaluation and decision-making.

- ◆ Working Capital Management

21. What is Working Capital?

Difference between current assets and current liabilities.

22. What is Operating Cycle?

Time taken to convert raw materials into cash through sales.

23. Why is working capital important?

Ensures smooth day-to-day business operations.

24. What factors affect working capital?

Nature of business, operating cycle, sales volume, credit policy.

- ◆ Cash & Funds Flow

25. What is Cash Flow Statement?

Statement showing inflow and outflow of cash during a period.

26. What are types of cash flows?

Operating, Investing, and Financing activities.

27. What is Funds Flow Statement?

Statement showing changes in financial position between two balance sheets.

28. Why is cash held by firms?

For transaction, precautionary, and speculative motives.

29. What is Baumol's Model?

A model to determine optimum cash balance.

- ◆ Inventory Management

30. Why is inventory held?

To ensure uninterrupted production and sales.

31. What is EOQ?

Economic Order Quantity is the optimal order size minimizing total inventory cost.

32. What are inventory levels?

Re-order level, Minimum level, Maximum level, Safety stock.

- ◆ Capital & Investment Decisions

33. What is Capital Budgeting?

Process of evaluating long-term investment decisions.

34. What are types of investment decisions?

Expansion, replacement, modernization, diversification.

35. Why is capital investment important?

It affects profitability, growth, and risk of the firm.

- ◆ Cost of Capital

36. What is Cost of Capital?

Minimum rate of return required by investors.

37. Why is cost of capital important?

Used in capital budgeting and financing decisions.

38. How is cost of equity determined?

Dividend Yield Method, Earnings Yield Method, CAPM.

- ◆ Receivables & Credit Policy

39. What is Receivables Management?

Managing credit sales and collection of debtors.

40. What is Credit Policy?

Rules related to credit period, standards, and collection.

41. What happens if credit policy is relaxed?

Sales increase but risk of bad debts also increases.

- ◆ Financial Management

42. What are basic finance manager decisions?

Investment, Financing, Dividend, and Working Capital decisions.

43. What are objectives of financial management?

Profit maximization and wealth maximization.

44. Why is wealth maximization preferred?

It considers risk, time value of money, and long-term growth.

- ◆ Annual Report & Financial Statements

45. What is an Annual Report?

A yearly report showing financial performance and position of a company.

46. Who uses annual report?

Shareholders, management, investors, creditors, government.